Stressed Assets Industry in India: A Way Out

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Abstract

The Indian banking system is beleaguered with non-performing assets (NPAs). According to the Reserve Bank of India's (RBI) Financial Stability Report of December 2017, they currently stand at 10.2 per cent of all assets, while stressed assets, which are believed to be NPAs in effect, stand at 12.8 per cent. This paper presents the macroeconomic and banking condition going before the scenes, the degree and nature of the emergencies and furthermore talk about the approach reactions that have been attempted. It is suggested that if the priority is to revive assets and get credit flowing again, the valuable deadline imposed by the new bankruptcy code must be supported by flexibility in restructuring, funds infusion in PSBs, and easing of macroeconomic conditions. The paper ends by suggesting some measures that can be adopted to better deal with a future balance sheet related crisis in the banking sector such that the impact on the real economy is minimal.

Keywords: Non-performing assets, Public-sector banks, Restructuring, Insolvency and Bankruptcy Code.

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1. Introduction

NPAs have been defined under the RBI Master Circular titled "Prudential Norms on Income recognition, Asset Classification and Provisioning pertaining to the Advanced Portfolio” dated July 1, 2015 as “an asset, including a leased asset, becomes non-performing when it ceases to generate income for the bank.” The gross NPA (GNPA) ratio of the banking system at 9.6 per cent and the stressed advances ratio at 12 per cent as of March 31, 2017, on the back of persistently high ratios in the past few years is, indeed, a matter of concern. 86.5 per cent of the GNPAs are accounted for by large borrowers, i.e., borrowers with aggregate exposure of `5 crores
and above. The challenge in dealing with the issue gets accentuated when observed against the capital position of some of the banks, particularly public-sector ones.[1] But is there a way out from this burgeoning problem?

In a bank-dominated economy, sustained impairment of the banking sector due to balance sheet problems creates a drag on real economic activity and can take the shape of an economic crisis. It is imperative to expeditiously resolve a banking sector crisis so that banks as the primary source of credit can start functioning normally again. The predominant position of government-owned or public-sector banks is a unique feature of Indian banking. India is the only large country other than China to have this feature.5 Even today, 25 years post-liberalisation, the share of the PSU banks is as high as 70% of the entire banking sector. This has two important implications. First is that it puts a constraint on bank recapitalisation. There is always a tendency for a banking crisis in India to degenerate into a public finance or fiscal problem given that the government has to bear a lion’s share of the burden to recapitalise the PSU banks. This is despite the fact that almost all these banks by now are listed entities. Second, this raises the question as to whether this is the best use of government’s resources when theoretically most of these banks can raise capital from the market. (Sengupta, Rajeswari, & Harsh, Non-performing Assets in Indian Banks:This Time its Different, 2017)

[1] Speech by Hon. Urijit Patel on the topic “Resolution of Stressed Assets: Towards the Endgame”

Industry practitioners named numerous execution difficulties as the biggest challenge with respect to revival of a stressed asset. Challenges in building consensus among creditors and lack of adequate legal rights / infrastructure followed closely in the list of impediments (Alwarez &Marshal, 2015)
For instance, a firm has the freedom to commence and continue a business. It may, however, fail to deliver as planned for a variety of reasons. Most often, it is due to competition and innovation where efficient firms drive out inefficient ones or new order drives out old one. While competition and innovation contribute to grow significantly, they also increase the incidence of firm failure. In a sense, failure is inherent to growth. The failure may also arise from faulty design of the business model, inefficient execution, economic downturn, or in rare cases, mala fide design. Regardless of the reason, failure generally reflects inefficient utilization or underutilization of resources and impacts the macro economy in multiple ways and therefore needs to be addressed expeditiously. There can be occasions when a firm may default without failure and vice versa. Default is a state of insolvency. The failure and consequent insolvency need to be prevented and where prevention is not possible it should be resolved.

The banking system is grappling with a Rs.10 trillion bad loan problem which is still some way from being sorted despite the new bankruptcy framework. The government extended a lifeline with its Rs.2.1 trillion recapitalization plans, but even that may have been yanked away because a bad loan pile-up is anticipated with the introduction of these new norms. (Krishnan)In the short-term these reforms would crimp economic growth but in the long term Central bank would get the credit for introducing these new norms. These new rules will develop a sense of transparency, more investor confidence in bank’s financials and change the way banks do business.

Where resolution is neither possible or desirable, the firm needs to exit with the least disruptions and cost and release the resources for fresh allocation. The Insolvency and Bankruptcy Code, 2016, addresses all these endeavours to prevent insolvency, wherever possible along with facilitators for quick and effective resolution and promotes ease of exit, wherever required. (Sahoo, 2017) Other norms may include greater prudence in lending, making loan repayment terms more realistic and lowering the tolerance for defaults. Banks will also pay better attention to developing risk management systems. This would also instil some amount of discipline in the corporate sector on honouring debt servicing commitments on time.

In the case of long term loans coming under distress banks get six months to resolve such loans else they have to be forwarded to bankruptcy court.

Another reason for transparency is the introduction of weekly reporting for defaults over Rs.5 crore to RBI's centralized database, CRILC (Central Repository of Information on Large Credits). This would result in lesser divergences from lender's and RBI's assessment on loans turned bad. This will instantly make all banks know who the stressed borrowers are. For loans over Rs.100 crore a rating agency shall rate the restructured loan as investment grade and for loans over Rs.500 Crore, the revamped loan will require investment rating from two rating agencies.

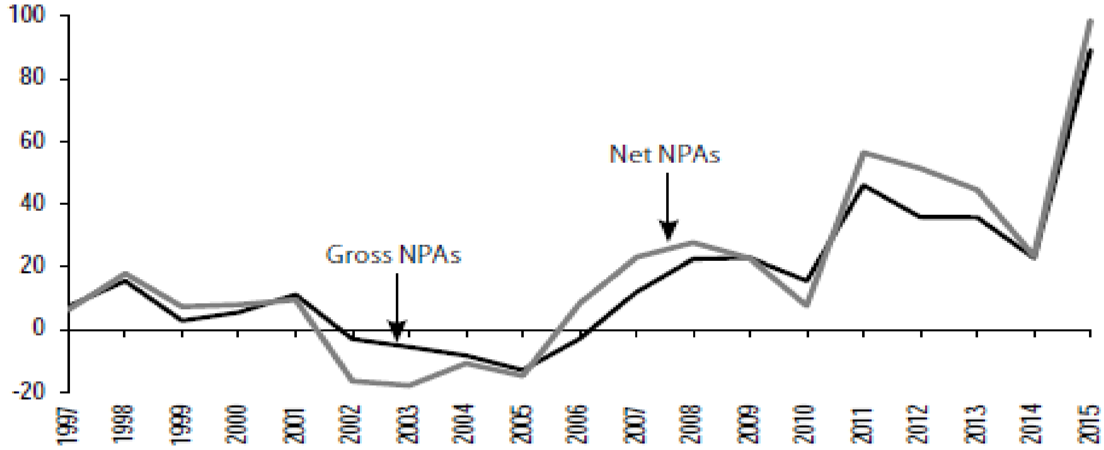
The structure of the paper is as follows: Section 2 presents NPA trends; Section 3 discusses the existing literature; Section 4 discusses the way out from this situation; Section 5 explains in detail the revised framework for resolution of stressed assets and Section 6 concludes the paper with some policy implications.

2. NPA Trends

From 1997 to 2002, gross NPAs amounted to 11% of gross advances and net NPAs accounted for 6% of net advances. The NPAs of the PSU banks were higher than that of the private sector banks. The share of gross NPAs in the advances made by PSU banks was close to 12% and the same for private sector banks was roughly 8%. Figure 7 shows the year-on-year growth rate of NPAs of commercial banks from 1997 to 2015 and Figure 8 shows the share of NPAs in the advances of different bank-groups over time.

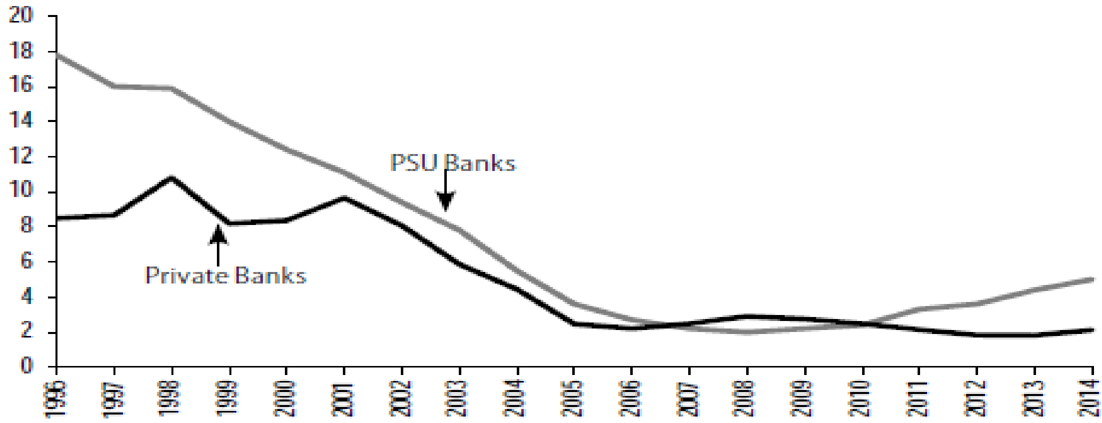
RBI exhorts the banks and financial institutions and urges them to ensure that while granting loans and advances, pragmatic repayment schedules should be followed based on the cash flows with borrowers. This would surely pave way to ease and prompt repayment by the borrowers and thus improving the record of recovery in advances. (Bindra, 2016)

Figure 1:Growth Rate of Non-Performing Assets of Scheduled Commercial Banks



Data for net NPA for 2015–16 is not available.
Source: Database on the Indian Economy, Reserve Bank of India.

Figure 2:Evolution of Share of Gross NPAs in Gross Advances of Public and Private Sector Banks



Source: Database on the Indian Economy, Reserve Bank of India.

In case of the ongoing crisis, the NPA problem started assuming serious proportions roughly from 2013 onwards but the NPAs had been growing from 2010. To some extent, the restructuring schemes introduced by the RBI helped the banks to suppress the extent of their balance sheet stress in the aftermath of the 2008 global financial crisis. In April 2015, RBI introduced the Asset Quality Review (AQR), which forced the banks to recognise the stressed assets on their books and provision for them. This was applicable to private and PSU banks alike. The AQR resulted in a sharp decline in the share prices of several banks. By September

2015, nine out of 10 stressed banks were government owned. Profitability of the banking sector in general has been declining since 2012.

Figure 3: Performance of Scheduled Commercial Banks (%)

Financial Year	Returns on Assets (RoA)	Return on Equities (RoE)
2008–09	1.1	15.4
2009–10	1.0	14.3
2010–11	1.1	14.9
2011–12	1.0	14.6
2012–13	1.0	13.8
2013–14	0.8	9.5
2014–15	0.8	9.3
2015–16	0.3	4.8

Source: Database on the Indian Economy, Reserve Bank of India and RBI Financial Stability Reports (June and December 2016).

The RBI introduced many schemes to encourage banks to restructure advances, but delays continued recovery was taking too long, and loan and deposit growth in PSBs was the slowest (Figure 3). Their larger share of stressed assets was denting confidence in PSBs, even though there was no run on banks, due to government backing, and assets were largely maintained.[2] (Goyal & Verma, 2017)

Table: Indian banks' bad loans, deposit and credit growth

	March 2015		March 2016		Sept 2016			
Banks	Gross NPA/ Gross advances	Deposit growth	Gross NPA/ Gross advances	Deposit growth	Stressed advances	Gross NPA/ Gross advances	Deposit growth	Credit growth
Private	2.2	16.5	2.7	17.3	4.6	3.2	20	23.2
Foreign	3.2	15.0	4.2	13.2	4.4	4.1	18	4.8
Public	5.4	8.9	9.8	4.6	15.8	11.8	5.5	3.1
All banks	4.6	10.7	7.8	7.6	12.3	9.1	9.2	7.8

Note: NPA: Non-performing assets; Stressed advances are ratios to total advances of gross NPAs plus restructured standard advances.
Source: RBI (2016), Chapter 2.

If asset sales or capital conservation are inadequate, infusion of new capital is required to clean balance sheets and revive lending. The government, however, as part of its Indradhanush restructuring plan for PSBs decided to provide only limited amounts conditional on improvements in governance7. Even so, the RBI imposed asset quality review in 2015. As a result, NPAs jumped sharply in 2016 (Table 2). Between March and September 2016 the stressed advances ratio increased for more than 70 per cent of banks.[2] (RBI, 2016)

3. Existing Legislations

Since the economic reform process of the 1990s, there has been significant progress in the development of financial markets and services in India. However, this development has been skewed largely towards equity markets. Despite considerable policy initiatives, the development of debt markets has seen little progress (Figure 4). While many factors have contributed to the lack of development of a debt market in India, one that clearly stands out as a large missing piece is the absence of a coherent and effective mechanism for resolving insolvency.

Figure 4: Financial Market Performance in India

Financial market development in India – 1996 to 2015

As % of GDP	1996	2008	2015
Equities	32.1	108.4	80.0
Government bonds	14.3	36.1	34.3
Corporate bonds	0.9	3.9	14.0
Bank assets	46.5	73.8	89.0

Source: SEBI, RBI, IMF World Economic Outlook

The enactment of the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI, 2002) Act in 2002.Its intent was to reduce the growing size of NPAs at banks and large public financial institutions. After its implementation, the number of new cases led with DRTs went down by almost 40%. The Narasimham Committee I and II also recommended setting up of Asset Reconstruction Companies (ARCs). Banks could offload

[2] As on September 30, 2016, gross NPAs of public sector banks rose to Rs. 6.3 lakh crore from about 3lakh crores in 2012. Including figures for restructured assets as well, the stressed assets in the banking system are estimated to be in the range of Rs. 10 lakh crores. Of the estimated 4 lakh crore of provisioning about 3 lakhs crores were done, but bankers believe more is required to revive assets.

their bad debts at a discount into the ARCs for the purpose of resolution. Accordingly, SARFAESI 2002 paved the way for the creation of Securitisation Companies/Asset Reconstruction Companies (SC/ARC). These financial firms are specialized institutions that buy NPAs from the banks, for the purpose of recovering and resolving them.

Figure 5: Government Committees on Bankruptcy Reforms

Year	Committee	Outcome
1964	24th Law Commission	Amendments to the Provincial Insolvency Act, 1929.
1981	Tiwari Committee (Department of Company Affairs)	SICA, 1983.
1991	Narasimham Committee I (RBI)	RDDBFI Act, 1993.
1998	Narasimham Committee II (RBI)	SARFAESI Act, 2002.
1999	Justice Eradi Committee (GOI)	Companies (Amendment) Act, 2002, Proposed repeal of SICA.
2001	L. N. Mitra Committee (RBI)	Proposed a comprehensive bankruptcy code.
2005	Irani Committee (RBI)	Enforcement of Securities Interest and Recovery of Debts Bill, 2011. (With amendments to RDDBFI and SARFAESI Acts).
2008	Raghuram Rajan Committee (Planning Commission)	Proposed improvements to credit infrastructure.
2014	Bankruptcy Law Reforms Committee (Ministry of Finance)	Insolvency and Bankruptcy Code (Replacing extant laws with a single consolidated code)

Source: RBI

The performance of SARFAESI in enabling recovery of banks' secured dues was at first promising but has worsened over time. The recovery rate declined from 61% in 2008 to 21.9% in 2013. The sale of NPAs by the banks to the ARCs has also remained stagnant[3]

Later RBI introduced several mechanisms like Corporate Debt Restructuring (CDR), Joint Lenders' Forum (JLF) and Strategic Debt Restructuring (SDR). These are all mechanisms through which RBI has allowed the banks to recover their dues from corporate borrowers. Since all these mechanisms are accompanied by some amount of regulatory forbearance on NPA provisioning, over time these have become the preferred mechanisms for collective recovery of corporate dues.

Figure 6 shows that, out of 29.84 percent of total borrowings by Indian firms in 2009-2010, banks account for 17.83 percent. In absence of a well-functioning insolvency resolution framework, banks themselves continue to be vulnerable to poor recovery against loans when the debtor firms fail. The size of NPAs of

[3] These figures have been compiled from the RBI Report on Trends and Progress of Banking in India, for 2008 to 2013.

banks have grown over the years along with their loan portfolios.

Figure 6:Sources of Funds aggregated for all non-financial firms

	1991-92	2009-10	2012-13
Equity	22.60	34.87	37.21
Retained earnings	10.56	21.05	6.85
Fresh issuance	12.04	13.82	30.36
Depreciation	17.64	9.69	3.56
Borrowing	35.32	29.48	21.57
Banks	17.14	17.83	15.20
Bonds	7.87	3.94	0.96
Inter-corporate	1.28	2.28	3.32
Foreign	5.51	3.22	0.74
Current liabilities	24.42	24.19	37. 65
D:E	1.56	0.85	0.58

Source: CMIE Prowess

In 2014, a significant effort at comprehensive bankruptcy reform was undertaken when the Ministry of Finance set up the Bankruptcy Law Reforms Committee (BLRC) under the Chairmanship of Dr. T. K. Viswanathan. The mandate of the BLRC was to recommend an Indian Bankruptcy Code, that would be applicable to all non-financial corporations and individuals and would replace the existing framework. It empowers all creditors secured, unsecured, financial and operational to initiate insolvency proceedings. This is a significant departure from the existing framework.

The government initiated the Indradhanush programme in August 2015 to revamp the PSU banks. It is a seven-pronged plan, which also includes recapitalisation or infusion of capital into the banks. According to the estimates of the government, the total amount of extra capital required by the PSU banks till 2019 is around `1,80,000 crore.8 Out of this, the government plans to infuse `70,000 crore over the next four years from budgetary allocations. Of this amount, 40% will be allocated to the six biggest PSU banks, 40% to banks that require support, and 20% to banks

based on their performance

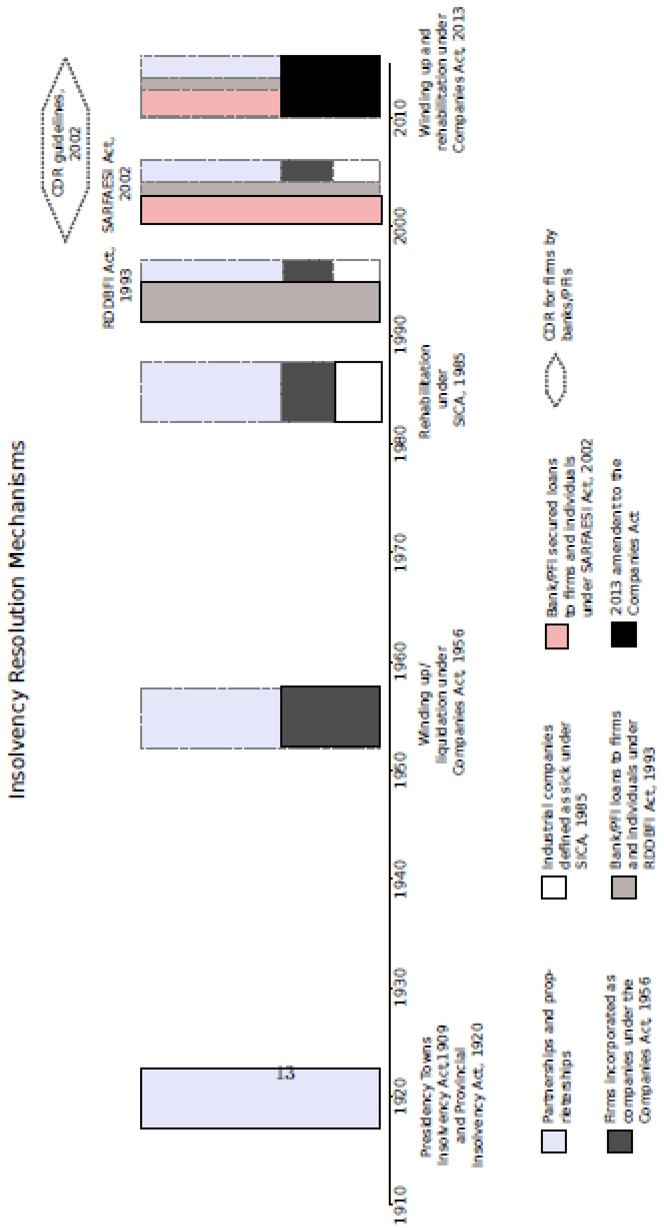
IBC also stipulates finite time limits within which the debtor's viability can be assessed. In the existing framework, judicial involvement in business decisions often causes inordinate delays in resolving insolvency. Under IBC the adjudicator's main role is to see that the processes follow the law. All business decisions
will be taken by a committee comprising all financial creditors. If the debtor firm is adjudged unviable and bankrupt, the firm goes into liquidation. IBC outlines a clear waterfall of priorities for the payment of dues to all claimants once the bankrupt firm's assets are sold off. (Sengupta, Rajeswari, & Anjali, 2016)

Figure 7:NPAs of the banking system

	2008	2010	2013	2015
Gross Advances (Rs. cr.)	23,318	32,719	59,883	67,423
Gross NPA + restructured advances (%)	3.59	6.90	8.82	10.91

Source: Report on Trends and Progress of Banking in India

Further, institutional development in this field is needed in the form of a stressed asset management industry run by private professionals. Banking regulation needs to be more proactive and needs to create incentives for the banks to
recognise the losses as early as possible so that NPAs do not keep accumulating on the bank balance sheets. In an emerging economy like India, perhaps there is a specific need for PSU banks to channelize savings for development
programmes but maybe the time has now come for the government to consider reducing its shares to a minority. Also, consolidation of several PSU banks may facilitate governance reforms and improve oversight. The illustration below shows the insolvency mechanisms in India.



4. The Way Out

At the macroeconomic level, despite one of the deepest continuous rate cuts since the financial crisis, credit growth has stagnated. Loan volume has shrunk by 0.1 percent1 between March and December 2016, as Indian corporates deal with a large burden of distressed loans.

Moreover, the 2016 demonetisation exercise brought massive levels of surplus liquidity into the system—this deposit surge, along with credit slowdown, has brought down the CD ratio of banks. The stressed asset burden continues to grow, with the distressed loan volume crossing INR 10 lakh crores in December 2016. The challenge is especially acute for the public-sector banks (PSBs), where stressed assets surpass their net worth. Current provision levels are inadequate, with a gap of nearly INR 600,000 crores between the level of stressed assets in the system and the provisions made. As these stressed assets continue to turn bad, the entire equity base of the banks could be at risk.

With a clear and coherent insolvency and bankruptcy law, there is lower contention between the creditor and the debtor, and financial distress can be resolved rapidly. Debtors can re-enter the enterprise arena quickly and with lower costs and creditors get incentivised to repeatedly provide credit.

Bank capital is a key factor in resolving the banking crisis. Hence, banks' ability to withstand NPAs is best measured in relation to capital. The banking sector had witnessed an NPA crisis in the mid to late 1990s. The surge in bank NPAs at that time took place in the aftermath of the introduction of robust income recognition and asset classification norms which exposed two decades of bad loans.

The NPA to loans ratio suggests that the current crisis is considerably less severe than that of the late 1990s. However, when NPAs are measured in relation to bank capital, the current crisis looks just as bad. In particular, the deterioration in the balance sheets of banks post-2010 is much sharper when measured using the NPA to capital ratio.

The average annual growth rates of GNPA and NNPA over the five-year period from 1997-2001 were 8.5% and 9.8%, respectively. During this period, bank capital grew 13.14% and bank loans grew 15.87%. The corresponding numbers for the current crisis are much worse. The average GNPA and NNPA growth rates for the period 2011-2015 were 45.9% and 54.9%, respectively. The average growth rate of bank capital for this period was 16.1%. Bank loans grew at 16.2%.

This shows that during the last NPA crisis, bank capital grew at a higher rate than NPAs. While the NPA to loans ratio was higher then, banks were not undercapitalized. They had better ability to withstand the problem. In the current crisis, however, the growth rate of NPAs has been considerably higher than that of bank capital, further underscoring the severity of the crisis. (Sengupta, Rajeshwari, & Harsh, The severity of the NPA crisis)

The Indian banking is under stress. Inherent structural challenges are getting exposed as the industry has been subjected to multiple shocks over the last few years. Indian banking sector lags behind other countries on health, risk, and efficiency metrics. The key challenges are high fragmentation levels (Exhibit 2), limited differentiation among players, and the inherent restrictions of state ownership on the PSBs.

Dramatic technological shifts are surfacing new opportunities and challenges for banking. Indian consumers are more digital than ever, with a dramatic fall in costs driving a surging growth in internet use. Consumers increasingly turn to digital channels to meet their financial needs, but this means that the traditional value chain is vulnerable to digital disruption.

The changing regulatory posture is facilitating the emergence of a digital, inclusive, interoperable, and competitive financial services market. An overhauled banking license regime is encouraging the entry of new players, both domestic and foreign. Government interventions are enabling digital business models through the creation of hard, publicly accessible data assets. However, growing restrictions on corporate lending practices could have a chilling effect on wholesale loan growth.

Analyses of various possible scenarios over the next five years indicate that the time for business as usual in Indian banking is at an end.

Scenario 1—Containment and contraction: If the Indian banking sector continue to maintain the status quo, the crisis situation will continue, with falling growth in corporate loans, high non-performing assets (NPAs), and continued polarization of the sector. As a result, the sector is likely to contract and move further into the realm of unprofitability. Indian banking may then become unable to meet the financing needs of the growing economy.

Scenario 2—Unsustainable expansion: A short-term fix is possible through external capital infusion to cover potential stressed assets losses and provisions. This may temporarily revive sector growth, but without making major structural changes, this growth would be unsustainable in the long run.

Scenario 3—Structural transformation: Long-term change and value creation is possible but only with sector-wide reforms and a complete reinvention of traditional business models. This report explores in detail the changes needed to make this possible.

Breaking the shackles—a blueprint to transform the sector

A comprehensive reinvention of the Indian banking industry is possible only with both structural changes in the sector as well as individual bank-level transformation and innovation. The report proposes a three-point blueprint of change covering actions both at the industry and individual bank level. Structural reforms agenda for the industry to address the major challenges affecting banks across the country. Develop a systemic solution to the stressed-asset challenge by leveraging partnerships with private asset management companies (AMC) and private capital and expertise to maximize value for the banks.

Drive a dramatic structural overhaul of Indian banking through multiple measures, from consolidating select PSBs, to leveraging public-private partnerships to strengthen capabilities, to exploring the opportunity to bring in private capital in state-owned banks. Strengthen the Indian capital markets to meet corporate funding needs through bonds and securitization opportunities.

Transformation agenda for the banks to drive efficiency and profitable growth Transform existing business models to address the core business segments—from corporate banking to MSME to mass market, to become more efficient in credit assessment and service delivery. Drive digitization to dramatically drive down costs, by building scalable IT platforms that seamlessly integrate the front- and back-end applications with external data ecosystems. Create a bedrock of robust enterprise risk management and greater transparency, through a quantitative perspective on risk health assessment.

Innovation agenda to disrupt and expand into new opportunity areas, as well as tap into the emerging channels to reach and service the customers. Capture value from the emerging ecosystems, where banks can expand beyond their traditional domains and take over the ecosystems orchestrator role in the coming integrated network economy.

Embed advanced analytics capabilities, to drive greater business value, efficiency, and enhanced customer service delivery through “hands off the wheel” decision making. This will require banks to build distinctive analytics capabilities in technology, people, and to deploy these assets in high-priority use cases. Shift to an agile organization structure, moving away from the traditional siloed and vertically segregated structures and operationalizing agile cross-functional squads. (Mastering new realities: A new blueprint to transform Indian Banking, 2007)

5. The Revised Framework

The revised framework for the resolution of stressed assets put out by the RBI last week will redefine the way banks function in India—and accelerate the shift of power from borrowers to lenders. Earlier, the regulator had to force banks to initiate bankruptcy proceedings against large defaulters. The fact that the regulator has had to push banks to use their new power against defaulters is rich with implicit meaning. (Mint)The basic idea behind the new rules is to simplify the recognition and resolution process of non-performing assets (NPAs) in a time-bound manner. The central bank has also withdrawn schemes, such as the corporate debt restructuring scheme, the strategic debt restructuring scheme and the scheme for sustainable structuring of stressed assets, which were introduced at different points in time to address the issue of bad loans. These schemes were an attempt to build a resolution process without the backing of a bankruptcy law. The revised rules are in the right direction since India now has the Insolvency and Bankruptcy Code (IBC) in place. Also, it comes at a time when capital is being infused in public sector banks.

According to the new rules, lenders will now have to report all stressed accounts above Rs5 crore to the RBI’s Central Repository of Information on Large Credits on a weekly basis. This will enable real-time tracking of such accounts. Further, resolution plans involving restructuring or change of ownership for accounts with aggregate exposure in excess of Rs100 crore will need an independent credit evaluation by a credit rating agency. In accounts with an aggregate exposure of Rs2,000 crore or more, a resolution plan will need to be implemented within 180 days, or lenders will have to file for insolvency under the IBC. For accounts with exposure between Rs100 crore and Rs2,000 crore, the regulator will announce the timeline at a later date.

The revised framework will clean up the bank balance sheet and benefit the system at multiple levels in the medium to long run. First, it will make recognition and resolution of bad loans transparent. There will be no ambiguity as to what should be done at each stage. In fact, it would force banks to move at a faster pace and make evergreening more difficult.

Second, it will improve credit discipline, as promoters will no longer be in a position to game the system. If the account is not resolved in the given time frame, and the case is referred to the National Company Law Tribunal (NCLT), it is highly likely that the promoter will lose control. Therefore, borrowers will now be more interested in resolving the issue in the given time frame.

Third, an improvement in credit discipline will lead to better allocation of capital, which will help push economic growth in the medium to long run. Both borrowers and lenders will be more careful. Further, since the recognition and resolution of NPAs will happen in a time-bound manner, the system will be able to avoid vast accumulation of bad debt, as has happened in recent years. This will not only make growth more sustainable given the availability of credit but will also reduce the pressure on the exchequer in terms of regularly capitalizing public sector banks.

To be sure, the accelerated pace of clean-up will likely pose some difficulties in the short run. For instance, the implementation of new rules could result in higher NPAs and provisioning requirements. Along with recent losses on the treasury side due to higher bond yields, this could affect the ability of banks, especially in the public sector, to lend in the short run. It is also likely that most of the capital infusion by the government will be used for cleaning up the balance sheet. Therefore, the inability of the banking system to fulfil credit demand could be a drag on economic growth in the short run.

Most bankers believe the new rules will lead to a spurt in loan defaults in the next few quarters. Firstly, a resolution plan has to be agreed by all bankers. Bankers worry that approval from even 75% or 51% of the lenders has been a problem. This requirement of approval from all bankers for a resolution to become applicable will mean more failures and more cases going to the bankruptcy courts. (Venkatesh)Secondly, getting an investment grade from the rating agencies for a resolution plan can be an uphill task. So far, these agencies have waited for the loan to perform for a year before raising their rating. Getting two rating agencies to give the required grade will be tougher. In an atmosphere where all institutions – banks, audit companies, boards, —are facing distrust, many a resolution may fall short of the required grade and again end with the bankruptcy courts. And all these loans are being forced to the bankruptcy courts when the process, while showing promise, has yet to yield results. Thirdly, the process to upgrade a restructured loan to standard status is more demanding. It will require the borrower to repay 20% of his principal before being upgraded. This means for a longer period, income from the loan can't be recognized, and the NPA will show up in the ratios and the risk capital. Fourthly, the loans currently under SDR or CDR or S4A have to be resolved in six months. Else more cases will end in the bankruptcy courts requiring immediate accelerated provisioning. (Venkatesh, New Bad Loan Rules: Darkest Hour Before Dawn, 2017)

This may well be the biggest problem for banks. At least some were invoked by banks and borrowers just to prevent the loan being classified as NPA. Now if these loans are taken to the bankruptcy court, banks will have to classify them as NPA and provide at least 50% of the loan. At least Rs2 lakh crore of loans may get added from the stress list to the NPA list; the resulting provisioning can lead many state-owned banks to fall short on capital. The widespread fear is that an immediate rise in slippages is likely, at least, from cases under the various old CDR and SDR schemes. This will hit provisioning and may absorb most of the capital that came from the recap bonds leaving little for growth. Also, the more demanding process of upgrading loans will keep incomes subdued for banks.

The bigger problem will be if Indian Accounting Standards (IndAS) is implemented starting April. IndAS requires that for every new loan, provisions have to be kept depending on the bank's loss-given-default in the past three years. The new rules hit when the NPAs are at their highest, so every new loan can become too expensive. So, there is a good chance that credit growth from public sector banks may slacken in the next few quarters. To be sure, once these few quarters are lived through, the banking system will emerge stronger and cleaner. But for the banks, the midnight jolt from RBI will mean nightmares first and sunrise after a rather long night. And there may be some public-sector banks which may not emerge from their comatose state at all. (Venkatesh)

Furthermore, it is not clear at this stage as to what kind of hit lenders will have to take on accounts that are referred to the NCLT. This will become clear after some of the earlier cases are resolved. It is possible that there could be a demand-supply mismatch of stressed assets in the near term, which can affect valuations, and force lenders to take a deeper haircut. This will again affect their ability to lend. However, both the government and the regulator have shown a fair amount of flexibility in dealing with the NPA problem and are likely to continue to do so in order to minimize the short-term pain of banking clean-up. The prospect of immediate pain should not be an excuse to ignore the benefits of greater credit discipline for the Indian economy in the coming years.

6. Conclusion

As the experiences of other countries have shown, there are no perfect laws and bankruptcy codes anywhere in the world. However, it is imperative to have a robust insolvency code and to keep improving it to suit the specific needs of the country and the existing business environment. The presence of a strong framework to deal with corporate insolvency and creditor and debtor protection is vital to unlock new avenues for funding and foster growth in credit markets. Thus, the drafting of the Insolvency Code should not be seen as a one-time exercise but as a continuous work-in-progress to strengthen a critical area of the Indian economy. (Alwarez &Marshal, 2015)

Economies move in cycles of upturns and downturns and banks being a predominant source of credit will respond to
the cyclical fluctuations. If there is a very high demand for credit during boom and banks lend indiscriminately, it is possible that when the economy enters into a recession, banks will face an asset quality deterioration and NPAs will go up. NPAs are a part and parcel of banking activity. However, when the NPA problem persists for years without getting recognised or resolved and starts hampering normal bank lending, it takes the shape of an economic crisis and becomes difficult to get out of. In India, time and again, this problem rears its head and the current crisis has been lingering on for years. Unless NPAs are dealt with quickly and efficiently, profitability and liquidity of banks can get severely affected and resource allocation in the economy becomes inefficient. Given the predominance of government-owned banks in India, any banking crisis invariably ends up affecting the public finances, which
is far from desirable. RBI as the banking regulator, government as a major stakeholder, and the banks themselves must step up to ensure that the current crisis is resolved rapidly, and the flow of the credit to the real sector in the future is not disrupted so much so that public finances have to be involved to rescue the banks. (Sengupta, Rajeswari, & Harsh, Non-performing Assets in Indian Banks:This Time its Different, 2017)

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